

“In the purely speculative field the objection to paying for advice is that if the adviser *knew* whereof he spoke he would not need to bother with a consultant’s duties.” (Chap. 21) [This isn’t much different from Warren Buffett’s observation that “Wall Street is the only place that people ride to in a Rolls-Royce to get advice from those who take the subway.”²]

There are many instances in which Graham and Dodd offer commonsense advice or even more interestingly, in which they refute existing rules of investing, substituting common sense for “accepted wisdom,” that great oxymoron. To me, this represents the greatest strength of the section on fixed-income securities. In the end, Graham and Dodd remind us, “Investment theory should be chary of easy generalizations.” (Chap. 8)

SECURITY ANALYSIS THROUGH THE YEARS

Many of Graham and Dodd’s specific ideas have withstood the test of time and in fact been picked up and carried forward by others.

- Their observation that “an investor may reject any number of good bonds with virtually no penalty at all” (Chap. 6) may have inspired Warren Buffett, who draws a very apt comparison to batters in baseball. Buffett reportedly commented that a baseball hitter will be called out if he fails to swing at three pitches in the strike zone, while an investor can let any number of investment opportunities go by without being penalized.
- Likewise, Graham and Dodd submitted that “the best criterion that we are able to offer [for the purpose of assessing the margin of assets over indebtedness] is the ratio of the *market value* of the capital stock to the total funded debt.” (Chap. 11) This was paralleled by the market-adjusted debt (MAD) ratios popularized by Michael Milken, when he pioneered the issuance of high yield

² *Los Angeles Times Magazine*, April 7, 1991.